

Q4 FY2025 Quarterly Earnings Report

SaaSCo Inc. – Investor Presentation

Fiscal Quarter Ending December 31, 2025

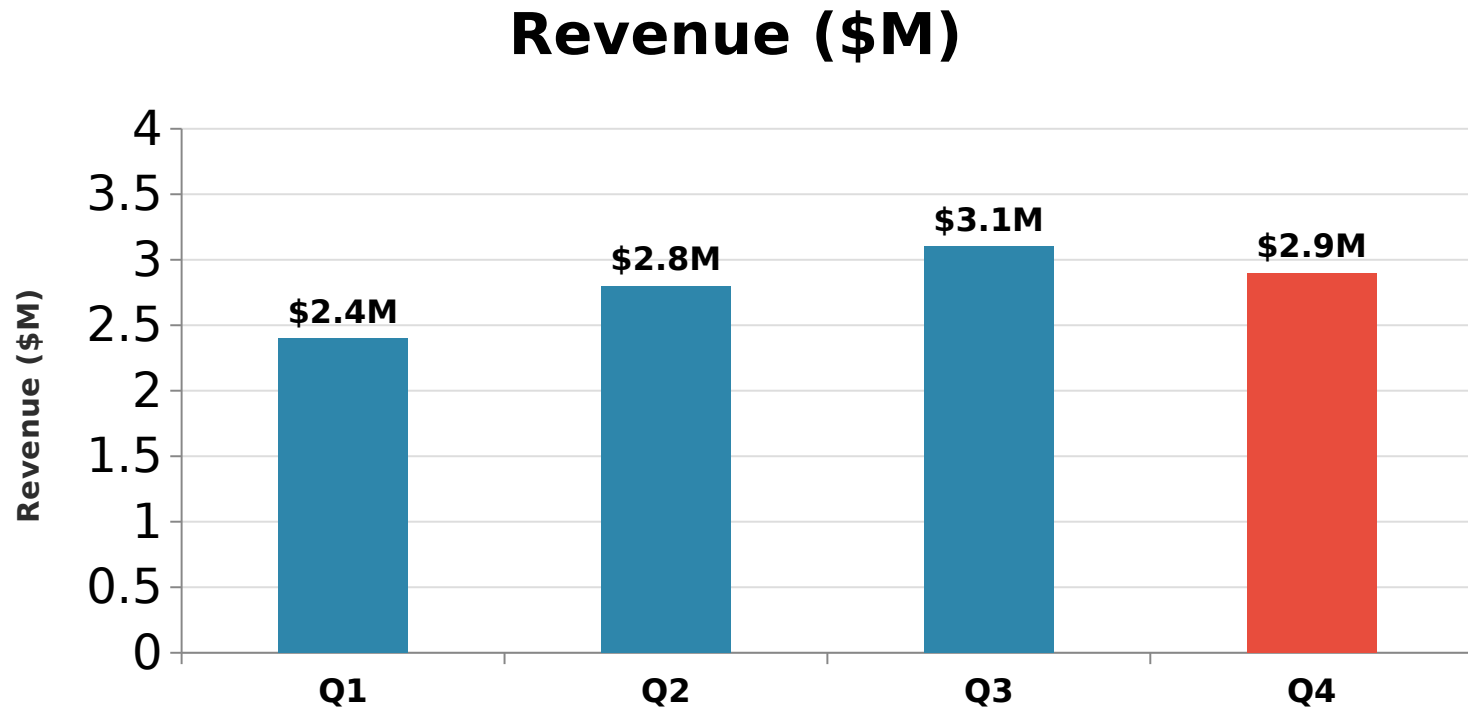
Key Takeaway: Despite a Q4 revenue dip to \$2.9M, annual revenue grew 21% YoY with a strong \$11.2M total.

Executive Summary

- **Full-year revenue: \$11.2M (+21% YoY)**
- **Q4 revenue: \$2.9M (-6.5% QoQ from Q3's \$3.1M)**
- **ARR run-rate: \$11.6M entering FY2026**
- **Net Revenue Retention (NRR): 112%**
- **Customer churn increased 4% in Q4 — driven by SMB segment**
- **Gross margin held steady at 74%**
- **Operating cash flow positive for third consecutive quarter**

Key Takeaway: The Q4 dip is a timing issue from contract transitions — ARR and NRR remain strong.

Quarterly Revenue Comparison



Key Takeaway: Q4's \$2.9M reflects strategic contract restructuring, not demand weakness. Q3 peak of \$3.1M included one-time upsells.

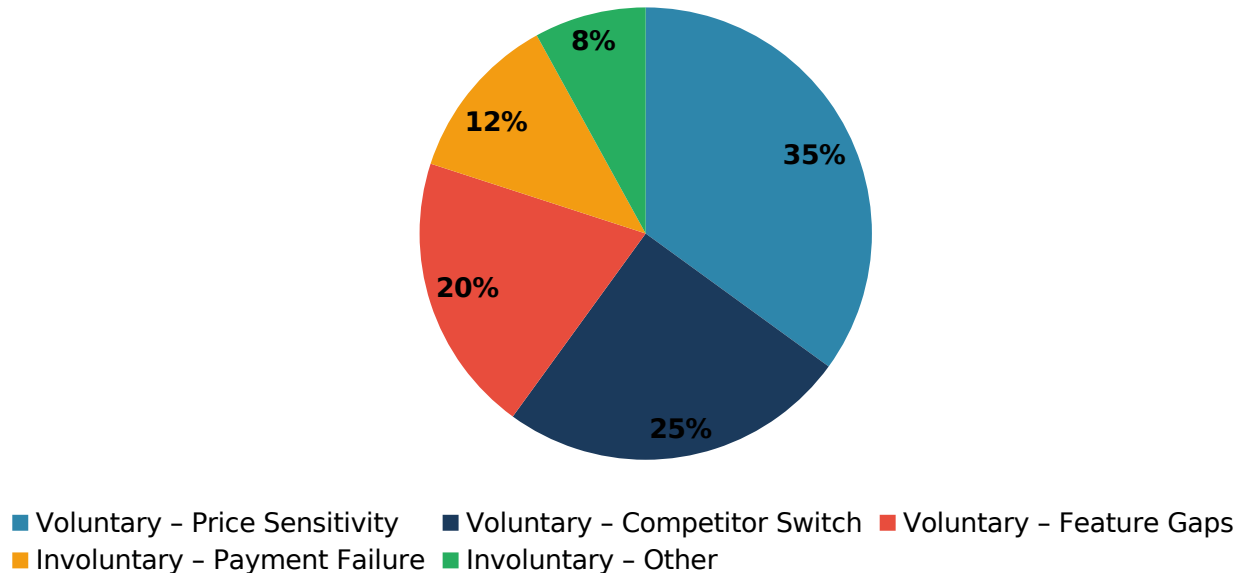
Key Financial Metrics

- **Gross Margin: 74% (stable QoQ)**
- **Operating Expenses: \$2.1M (-3% QoQ due to hiring freeze)**
- **EBITDA: \$0.42M (14.5% margin)**
- **Free Cash Flow: \$0.31M**
- **Cash & Equivalents: \$8.7M**
- **Deferred Revenue: \$1.8M (+22% QoQ)**
- **Rule of 40 Score: 35 (approaching benchmark)**

Key Takeaway: Deferred revenue surged 22% QoQ — a strong leading indicator for Q1 FY2026.

Customer Churn Analysis

Churn Breakdown



Key Takeaway: 60% of churn is voluntary and addressable — new onboarding and pricing programs target the top two drivers.

Q4 Revenue Dip — Root Cause Analysis

Root Causes of Q4 Sequential Revenue Decline (-\$200K):

1. Enterprise Contract Transition: -\$180K
 - 12 enterprise clients moved to annual prepaid contracts
 - Revenue deferred to Q1 FY2026
2. Product Sunset (Legacy Analytics): -\$50K
 - Planned deprecation of low-margin add-on
 - 70% of affected users migrated to core platform
3. SMB Churn Impact: -\$90K
 - Higher-than-expected SMB losses
 - Partially offset by +\$120K in enterprise upsells

Key Takeaway: The Q4 dip is fully explainable — \$180K is deferred (not lost) and structural actions improve long-term margins.

FY2026 Outlook & Guidance

FY2026 Guidance:

- **Revenue: \$13.5M - \$14.2M (+20-27% YoY)**
- **Q1 FY2026 Revenue: \$3.3M - \$3.5M**
- **Gross Margin Target: 75-77%**
- **Churn Reduction Target: -2pp by Q2 FY2026**
- **Planned Headcount Additions: 18 (Sales, Engineering, CS)**
- **Product Launches: AI-powered analytics (Q2), Mobile app (Q3)**
- **Expected ARR exit rate: \$14.5M+**

Key Takeaway: FY2026 guidance of \$13.5-14.2M reflects confidence in deferred revenue conversion and churn reduction.

Thank You & Q&A

SaaSCo Inc. — Q4 FY2025 Earnings

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Upcoming Dates:

- Q1 FY2026 Earnings: April 15, 2026
- Annual Shareholder Meeting: May 20, 2026
- Investor Day: June 10, 2026

Forward-looking statements in this presentation are subject to risks and uncertainties. See our SEC filings for details.

Key Takeaway: We're committed to transparent communication — the Q4 dip reflects strategic repositioning, not fundamental weakness.